

that designing and manufacturing the chassis—with the required quality and strength—was entirely possible in India and at a fraction of the cost.

We started by localising these components, choosing the low-hanging fruits first. Instead of waiting for solutions for complex components like semiconductors, we focused on what could be indigenised immediately. We worked with various vendors globally to understand price fluctuations and began innovating at the component level. It was not complex; it was just a thought that we could make an Indian product as robust as an international one but at a lower price—perhaps even one-fourth.

Did *jugaad*—the Indian concept of frugal innovation—play a role in your strategy?

If *jugaad* means innovation or beating the process to create something new, it did. For example, we recently filed a joint patent with IIT Roorkee for a charger that can handle both GB/T and CCS2 cars. You do not need to spend extra to set up another station for different car types. One charger, with an approved extension cord or connector meeting global standards, can charge two kinds of cars on the same platform. If that is considered *jugaad*, then it certainly works!

Why do you think many MSMEs in India grow less significantly? What did you do differently that others might fear to do?

I only partially agree that MSMEs are not growing. Today, MSMEs are making a significant difference. The fact that we have reduced our costs by 40% is thanks to our MSME partners. It is often impossible to approach big companies for reducing costs. MSMEs drive innovation in battery manufacturing,

controllers, chassis, and various components in the EV sector.

We localised our supply chain. Imported components that used to measure 2.8 to 4.2 square metres (30 to 45 square feet) are being replaced with indigenous components that measure only 0.9 to 1.1 square metres (10 to 12 square feet), with better quality and lower prices. We did not wait for magic to happen; we took action. MSMEs have the capability and they are making an impact.

Could you help identify some low-hanging fruits for MSMEs looking to work in the EV charger sector?

One area is making charging stations more climate-friendly and user-friendly. EV charging stations are often unmanned and exposed to weather conditions and social challenges, like equipment safety and proper usage. There is a need for solutions that protect the equipment while keeping costs down.

We aim to set up 100 charging stations across India in one year. To ensure operational break-even within two to two-and-a-half years, we are partnering with landowners, such as small shops or *dhaba* owners, who have access to vehicles and want to engage in new business ventures. This will avoid additional workforce costs, keep our equipment safe, and help local businesses grow.

With incoming competition from foreign companies, do MSMEs have enough runway to develop these technologies from scratch?

In terms of time and financial resources, that is where the challenge lies. If there are incentives, they should not just be announcements. MSMEs should get increased support—soft loans, manufacturing assurances, and training in the latest technologies. We have the

capability and know-how, but we need resources.

For example, why not provide soft loans or better financing options for consumers buying EVs? This would encourage adoption and help MSMEs grow alongside increased demand. The adoption rate in India is still lower than expected, and if it does not pick up in the next two to three years, we might face problems.

Are you using technologies like artificial intelligence or data analytics to plan and design your charging stations?

We have not extensively used artificial intelligence, but data is crucial for any business. We have been manufacturing chargers for about three-and-a-half to four years and have gathered substantial data from various sources. This data helps us understand traffic movement, station profitability, and optimal locations.

For instance, Delhi has over 410 stations, but almost 90% need to be more utilised. There are certain stations where people queue up, so we focus on setting up stations with actual demand. We are also developing IoT-based stations communicating with cars and central management systems to enhance user experience.

How much investment goes into R&D at Servotech, and how do you foster an R&D culture?

We heavily invest in R&D—about 25% to 30% of our operational expenses go into it. We have around 350 employees, of which about 100 are dedicated to R&D. We plan for 20 years, focusing on future technologies. Our R&D team receives significant support, including a 30% salary premium compared to other employees. We believe that our business is built on a foundation of innovation and future readiness. **EFY**